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(iv) **Revenue account**

Accounts relating to revenues of an enterprise are grouped under this category, for example; revenues from sale of goods, rent received.

(v) **Expense account**

Expenses incurred and losses suffered for earning revenue are grouped under this category; for example, purchase of goods, salaries paid.

A transaction may have the effect on either side of the equation by the same amount or it may have the effect on one side of the equation only, by both increasing and decreasing it by an equal amount.

Recording of transactions as per accounting equation approach is explained below:

(a) Increase in capital and increase in asset

Commenced business with cash ` 1,00,000

Effects: (i) Cash comes in → Increase in asset

(ii) Capital provided by the owner → Increase in capital of owner

Capital	=	Assets
Capital	=	Cash
(+) ` 1, 00,000	=	(+) ` 1, 00,000

(b) Decrease in liability and decrease in asset

Paid creditors ` 10,000

Effects: (i) Cash goes out → Decrease in asset

(ii) Creditors are paid → Decrease in liability

Liabilities	=	Assets
Creditors	=	Cash
(–) ` 10,000	=	(–) ` 10,000

(c) Decrease in one asset and increase in another asset

Bought furniture costing ` 5,000 by paying cash

Effects: (i) Furniture comes in → Increase in asset

(ii) Cash goes out → Decrease in asset

Liabilities	=	Assets
Liabilities	=	Cash + Furniture
	=	(–) ` 5,000 (+) ` 5,000